

ETHIOPIA

Table 1 **2022**

Population, million	123.4
GDP, current US\$ billion	131.8
GDP per capita, current US\$	1067.9
International poverty rate (\$2.15) ^a	27.0
Lower middle-income poverty rate (\$3.65) ^a	65.0
Upper middle-income poverty rate (\$6.85) ^a	90.9
Gini index ^a	35.0
School enrollment, primary (% gross) ^b	106.0
Life expectancy at birth, years ^b	65.0
Total GHG emissions (mtCO2e)	196.5

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2015), 2017 PPPs.

b/ Most recent WDI value (2021).

Growth is estimated to have slowed to 5.8 percent in FY23 from 6.4 percent in FY22 as fiscal and external pressures intensified. Amid heightened macroeconomic vulnerabilities and depleted buffers, growth remains lower than before COVID-19, and poverty and inequality have increased due to multiple, compound shocks of conflict, droughts and inflation. The peace agreement to end the conflict in the north provides an opportunity to advance reforms to support macroeconomic stability and economic transformation for sustained and inclusive growth.

Key conditions and challenges

State-led economic development lifted growth to over 10 percent between 2004-19, placing Ethiopia among the fastest-growing economies in the world. However, overvalued exchange rates, financial repression, and regulatory and other policy distortions that underpinned this SOE-led growth model undermined external competitiveness, depleted macroeconomic buffers, depressed productivity and stalled the country's structural transformation. The 2019 Home-Grown Economic Reform Agenda sought to course correct by prioritizing reforms that unlocked greater private sector participation and market orientation. However, implementation was slowed by multiple shocks including COVID-19, soaring global food and energy prices and conflict in the north that exacerbated macroeconomic vulnerabilities. As a result, growth slowed to about 6 percent since FY20. In 2021, the country applied for debt treatment under the G-20 Common Framework amid growing external and fiscal financing pressures. The November 2022 peace agreement has ended conflict in the north, but conflict of varying intensity remains widespread throughout the country. The government is seeking to revive reform momentum: the revised Home-Grown Economic Reform Agenda (HERA 2.0) announced in June 2023 targets reforms in four pillars: macroeconomic stabilization, investment and

trade, productivity, and climate resilience. Implementation of these reforms, including swiftly addressing the distortions in the forex market, is key to support macroeconomic stability, private sector led growth and over the medium term, to dampen fragility and conflict risks.

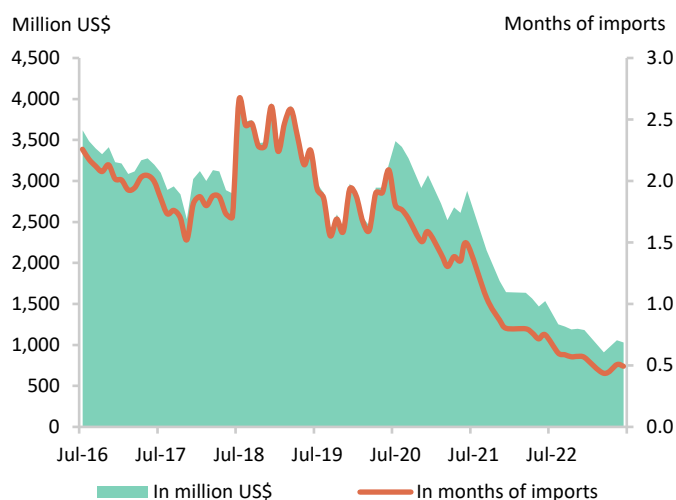
Already acute food insecurity has worsened due to global food and energy price shocks, disruptions to grain supply due to the war in Ukraine, and below-average local crop production. Humanitarian conditions in Ethiopia are deteriorating due to the combination of climate shocks, disease outbreaks, armed conflict, and the socio-economic impacts of COVID-19. In 2023, about 28.6 million people – around one-fourth of the country's population – need humanitarian assistance, an increase of about 2.7 million from 2022.

Recent developments

Growth slowed to an estimated 5.8 percent in FY23 (ending June 2023) from 6.4 percent in FY22 as good harvests supported agricultural growth despite protracted drought in pastoral areas. Service activity also held up, offsetting the drag on manufacturing and construction from worsening forex shortages, restrictions on non-essential imports and the suspension of preferential US market access.

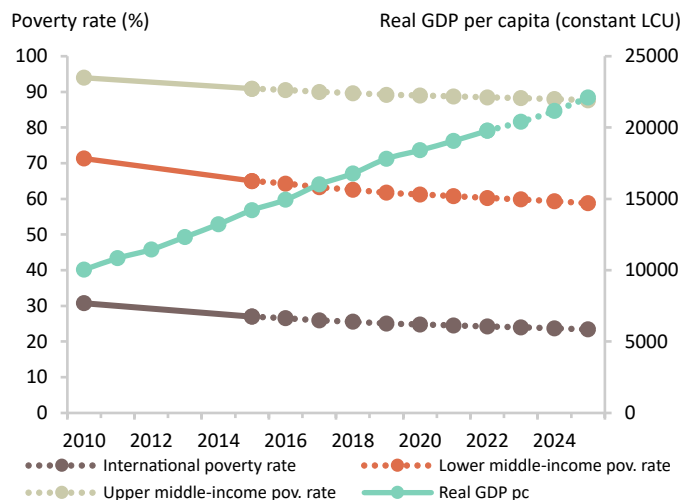
The current account deficit in FY23 narrowed to 3.1 percent of GDP from 4 percent in FY22 due to lower imports related to forex shortages and strong service exports. It was largely financed through FDI,

FIGURE 1 Ethiopia / Gross foreign exchange reserves



Source: National Bank of Ethiopia.

FIGURE 2 Ethiopia / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

which continued to decline, and the draw-down of FX reserves, which fell to less than two weeks of import cover by June 2023. Fiscal space tightened further amid declining revenues and donor flows. At 7 percent in FY23, Ethiopia's tax-to-GDP ratio is insufficient to fund essential spending and anchor fiscal sustainability, let alone finance additional growth-enhancing health and education investments. To contain fiscal deficits, public spending has been steadily cut, falling to 10 percent of GDP in FY23 (less than half the levels in the early-2000s). With financing options severely constrained, the deficit narrowed from 4.2 percent of GDP in FY22 to 2.9 percent in FY23, and was financed mainly through domestic borrowing, including from the central bank. Public debt-to-GDP ratios continued to decrease in FY23 as external disbursements remained constrained. Despite some easing in recent months, inflation remained high at 28.8 percent in July, driven mainly by nonfood inflation due to the phased removal of fuel subsidies, monetary financing of deficits and widening of premiums in parallel currency markets (that reached over 100 percent in recent months). Overlapping crises – persistent droughts and a surge in global food,

fuel and fertilizer prices – have further exacerbated inflation.

Armed conflict, back-to-back droughts in lowland regions, and high food prices have contributed to a stagnation and reversal of poverty reduction in recent years. The number of poor people increased by about 410 thousand in 2022. Moreover, the poor, who are net consumers of food, remain at high risk of falling into extreme poverty and food insecurity.

Outlook

A modest increase in growth to 6.4 percent is expected in FY24 as recent domestic and external shocks wane and service activity remains strong. Over the medium term, growth is anticipated to rise to about 7 percent amid slow progress in reform implementation with continued policy distortions, notably overvalued exchange rate policies, expected to reduce the payoff from the ongoing liberalization of telecom and banking sectors and to continue to drag on domestic and foreign private investment. With fiscal and external pressures expected to persist, and amid constrained financing

options, both fiscal and current account deficits are projected to narrow further over the medium term. A gradual deceleration in inflation is projected, supported by reduced monetary financing in line with narrowing fiscal deficits.

Faster implementation of critical macro-economic and structural reforms could lead to better growth outcomes in the medium term. However, the resumption of conflicts could complicate reform implementation and forex inflows from development assistance and investment. Addressing the significant distortions in the forex market is critical to restoring productivity-led growth by improving resource allocation and alleviating external payment risks. Debt treatment and the resumption of official external flows will also be critical to ease external financing pressures.

Substantial poverty reduction in the medium term will depend on a strong performance in the agricultural sector, which employs over 70 percent of the labor force, and the creation of economic opportunities in other sectors. Additional shocks could push millions more into poverty and increase spatial inequalities. The acceleration of reforms to rebuild fiscal and social buffers will be critical to mitigating this risk.

TABLE 2 Ethiopia / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2019/20	2020/21	2021/22	2022/23e	2023/24f	2024/25f
Real GDP growth, at constant market prices	6.1	6.3	6.4	5.8	6.4	7.0
Private consumption	5.0	3.0	4.5	6.8	6.8	5.6
Government consumption	0.6	12.2	1.5	-13.5	-6.4	12.7
Gross fixed capital investment	5.6	7.6	11.0	9.2	7.3	7.1
Exports, goods and services	3.4	5.5	11.7	2.7	2.5	2.7
Imports, goods and services	-1.9	2.0	10.8	2.7	3.2	3.4
Real GDP growth, at constant factor prices	6.1	6.3	6.4	5.8	6.4	7.0
Agriculture	4.3	5.5	6.0	5.8	4.8	5.8
Industry	9.6	7.3	4.8	2.3	4.7	4.8
Services	5.2	6.3	7.9	8.2	8.8	9.3
Inflation (consumer price index)	19.9	20.2	33.7	32.6	26.3	17.2
Current account balance (% of GDP)	-4.1	-2.7	-4.0	-3.1	-2.3	-2.1
Fiscal balance (% of GDP)	-2.8	-2.8	-4.2	-2.9	-2.0	-1.8
Revenues (% of GDP)	11.7	11.2	8.3	7.6	6.7	7.1
Debt (% of GDP)	56.5	56.6	54.4	50.4	44.6	35.2
Primary balance (% of GDP)	-2.4	-2.2	-3.6	-2.3	-1.5	-1.3
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	24.8	24.5	24.3	24.0	23.7	23.4
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	61.3	60.8	60.3	59.9	59.4	58.8
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	89.0	88.7	88.5	88.2	88.0	87.7
GHG emissions growth (mtCO₂e)	2.0	2.4	2.6	2.5	2.7	2.7
Energy related GHG emissions (% of total)	15.2	14.8	14.3	13.6	13.0	12.5

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2010-HICES and 2015-HICES. Actual data: 2015. Nowcast: 2016-2022. Forecasts are from 2023 to 2025.

b/ Projection using annualized elasticity (2010-2015) with pass-through = 0.87 based on GDP per capita in constant LCU.

Note: Growth projections reflect limited available information, and are subject to revision as better data becomes available.